Weekly Insights | Sep 4, 2025

Corn – Tour Reports Lower Yield Expectations

CME corn futures (Dec '25) rose two percent this week, settling near $4.18/bu on Sep 3. Funds covered shorts amid yield uncertainties – U.S. crop ratings slipped (corn 69 percent good/excellent, down two) and European production forecasts were cut by about four percent. The result was speculative buying and a six-week high mid-week despite harvest pressure looming. Basis weakened in the Gulf due to ample supplies. Corn spreads widened slightly – the Dec'25/Mar'26 carry moved to 18¢ (≈82 percent of full carry) as elevators prepare to store new-crop. U.S. corn basis was firm in export channels – Gulf CIF corn was steady at +55¢

Executive Summary

(U.S. No.2 YC, NOLA) as export loadings hit 1.41 MMT last week. Interior corn basis softened seasonally (IL River down 5¢) with early harvest in the South.

Soybean Complex – Record US Crop, Weak Exports Counter Robust Domestic Demand

November soybeans eased by nearly two percent to $10.29/bu as timely rains and a cooler finish to August tempered yield loss fears. U.S. soybean conditions fell sharply (65% G/E, down four percent during the week ending September 1), but late moisture boosted pod fill in some areas. Strong domestic crush data (Jul crush up annually) and China's PMI uptick lent support, though record Brazil supplies capped rallies.

Soybean spreads held around 12¢ (Nov/Jan, 55 percent carry) amid tight early stocks. Soy basis stayed strong at processors, supported by robust crush margins (board crush > $2.00/bu) and slow farmer sales.

Wheat – Russian Competition, Ample Supply Eclipse SRW Weather Concerns

CBOT Dec wheat fell two percent to $5.18/bu. Abundant global stocks (Russian exports brisk, EU shipments slow) and a firm USD weighed on prices. U.S. spring wheat harvest accelerated (72% done vs 71 percent avg), adding harvest pressure. HRW cash premiums softened as Northern Hemisphere supplies peak, keeping futures on the defensive and adding to harvest pressure. Wheat spreads were steady as the

Dec '25/Mar '26 stayed near 18¢ (≈75 percent carry) with ample storage incentives. Strengthening carries align with a comfortable post-harvest supply outlook, especially in wheat. HRW wheat protein premiums eased as pipeline needs are filled, but soft wheat basis remains historically firm (Gulf SRW +100¢) on export demand and weather concerns.

Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.

info@HigbyBarrett.com

Macro/Policy – Dollar Strength and World Commodity Demand/US Competitiveness

A weaker USD (Dollar Index 97.7, a five-week low) provided a tailwind for commodities. Crude oil rebounded by one percent on the week (WTI ~$64.7/bbl) on risk-on sentiment and supply concerns, aiding biofuel margins. Brazil's real firmed modestly (R$4.90/USD) alongside the softer dollar, while Argentina's peso remained officially steady (350 ARS/USD) amid election-year controls (parallel rate >2x official). Overall risk appetite improved on hopes of U.S. rate cuts, benefiting grains.

Weather

Weather in US Midwest was dry with temperatures 2-4°F above normal, benefiting harvest but stressing late crops; Brazil saw rains aiding planting.

What's Next (Sep 4 – Sep 10):

U.S. Crop Results: Sept 6: USDA Crop Progress – watch if corn denting/maturity stays on schedule and any final condition changes.

Harvest Pace & Quality: Early corn harvest reports (South) will give yield clues; any aflatoxin or quality issues could affect feed demand/basis. Spring wheat harvest completion and protein data will shape milling basis.

Exports & Policy: USDA export sales (out Sep 5) for week ending Aug 28 – key to see China's new-crop soybean purchases. Also, monitor any flash sales announcements. Internationally, watch Russia's export policy (floating tax adjustments) and Argentina's election rhetoric on grain policy (could spur farmer selling if devaluation signals emerge).

Weather: U.S. forecast calls for mostly open harvest weather; however, any remnants of Atlantic storms bringing heavy rain to the Delta/Midwest could slow fieldwork. In South America, early soybean planting moisture in Brazil (Sep) will be watched, though main planting is later in month.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	8/28/2025 Close	9/3/2025 Close	Change (Δ)	Δ%	5-day Realized Vol*	Open Interest Δ
Corn (Dec '25)	$4.10	$4.18	+$0.08	+1.95%	~18% (ann.)	~+10k (est.)
Soybeans (Nov '25)	$10.48	$10.29	–$0.19	–1.8%	~15% (ann.)	~+5k (est.)
Wheat (Dec '25)	$5.29	$5.18	–$0.11	–2.1%	~20% (ann.)	~–3k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	8/28 Quote	9/3 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+$0.17	+$0.18	+0.01	~82 %	Wide carry. Encourages storage; strong commercial hedging.
Soy Nov–Jan	+$0.12	+$0.12	0.00	~55 %	Moderate carry. Near pipeline needs met; some incentive to carry.

Wheat Dec–Mar	+$0.18	+$0.18	0.00	~75 %	Carry persists. Ample stocks; storage returns for holders.

Assumes 7% annual interest + \$0.05/bu-month storage. Full carry over 3 months ≈22¢ for corn/wheat, 2 months ≈$0.22 for soy. Percent of full carry = (spread ÷ calculated full carry)

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	**8/28 USD Price**	**9/3 USD Price**	**Δ**	**Notes**
Dalian Corn (Jan)	¥2,540 ($6.00)	¥2,520 ($5.95)	–1%	China corn futures slightly eased; still > import parity, limiting import demand[12].
Dalian Soymeal (Jan)	¥3,550 ($483)	¥3,590 ($489)	+1.1 %	Soymeal in China firmed on hog sector demand; crushers' margins remain thin.
B3 (São Paulo) Corn (Nov)	R$ 60.0 ($12.25)	R$ 59 ($12.00)	–2%	Brazilian corn prices softened in BRL as export rush peaks; in USD terms still competitive.
Euronext Wheat (Dec)	€195.25 ($227)	€192.00 ($225)	–1.7%	EU wheat edged down on large Black Sea supplies; EU cut corn outlook supports feed demand

Corn Market Deep Dive

Futures & Spreads: Corn futures strengthened over the week, with Dec 2025 corn up 8¢ to $4.18/bu. The market rallied mid-week to 6-week highs as traders reacted to crop concerns and external support. A key driver was the *Pro Farmer Midwest Crop Tour* (week of Aug 24–28) reporting below-expected yield samples in parts of the western Corn Belt (drought-hit areas of NE/IA) – this fed speculation that USDA's upcoming yield estimate could be trimmed. Additionally, the EU cut its corn crop forecast by four percent to 57.6 MMT on Aug 29 due to summer drought, implying higher EU import needs. These supply-side factors ignited…

Short-Covering: CFTC's Commitments of Traders report (as of Aug 26, published Aug 29) showed managed money net short corn at 110,935 contracts, the smallest corn short since May as funds bought back 3,700 shorts from the prior week. Commercial hedgers added short hedges into the rally, evidenced by a slight open interest rise (+0.7 percent w/w to 1.46 million contracts, futures-only) – consistent with elevators forward-selling new-crop stocks.

Calendar spreads reinforced a carry regime. The Dec '25–Mar '26 corn spread widened to about +18¢ carry (from +17¢) by Sep 3, roughly 82 percent of full carry costs. This near maximum-carry structure (with Gulf barge rates modest and storage costs known) indicates strong commercial hedging interest to carry corn post-harvest. High spreads align with USDA's outlook for rebuilding 2025/26 ending stocks (U.S. corn stocks projected up 50 percent YoY on record production). In the options market, implied volatility eased slightly (Dec at ~19% IV), reflecting the more comfortable supply sentiment and active hedging. On other exchanges, Dalian corn futures in China ticked down by one percent, ending near CNY 2,520/MT ($6.00/bu). Chinese prices remain well above imported Gulf corn landed values (despite two percent VAT and tariffs), reflecting a still-tight domestic balance. However, with China's feed demand softening, DCE corn's premium did not spur new import deals this week. Brazil's B3 corn futures (Nov) fell two percent in BRL (to R$59, or $12.00/bu) as that huge second-crop harvest moves through export channels. In Argentina, the MATba-Rofex corn (Apr '26) was relatively flat in ARS, but given the peso's distortion, in USD terms Argentine new-crop corn offers remain among the cheapest globally around $175/MT FOB Up River – a situation unlikely to change until after the October elections.

So what? The firmer corn board and wide carries suggest the market is transitioning from a weather-driven rally to a more storage-oriented mindset. Commercials are locking in carries by hedging Dec and beyond, indicating confidence that current prices plus carry provide a return to storing corn. Funds have pared bearish bets but have yet to turn net long, leaving room for additional buying if yield or harvest results disappoint. Overall, futures are finding a equilibrium in the low $4's – high enough to encourage farmer

selling on rallies, but not so high as to ration demand significantly. The carry structure, near full, encourages end-users to wait on procurement, keeping near-term basis in check.

Soybean Market Deep Dive

Prices rallied from early-August lows (near $9.85) into late August before encountering resistance and easing into early September.

Futures and Spreads: have been volatile but range-bound, recently rebounding from harvest-season lows. In early August, the market was pressured by expectations of a bumper U.S. crop – traders anticipated the USDA would raise production to about 4.36 billion bushels (with a corresponding jump in ending stocks)[1]. Indeed, November soybean futures (SX25) dipped to roughly $9.85 per bushel at that time. By late August, however, prices recovered into the low $10s as uncertainty over yields and steady crush demand provided support. The November 2025 contract briefly slipped below its previous low but never decisively broke technical support at its 100-day moving average (around $10.30). This resilience in the face of bearish supply news signaled that much of the "big crop" outlook was already priced in.

Calendar spreads have been mixed, reflecting a tug-of-war between ample new-crop supply and demand – the market has not fully committed to a carry, suggesting some underlying demand or storage hesitance.

Fundamentals outside the U.S. are also influencing soybean spreads. Top importer China has so far been absent from booking significant U.S. soybeans, instead extending its coverage with South American supplies. This lack of Chinese buying has limited upside momentum for nearby futures, even as U.S. export inspections remain solid. In fact, U.S. soybean export shipments for 2024/25 met the USDA's target with year-to-date inspections up over 11 percent from last year. On the product side, soymeal has been gaining on soyoil (a reflection of crush margin shifts noted by traders), indicating some relative strength in meal demand. Internationally, Dalian soybean and vegoil futures in China moved higher during August, which at times lent support to U.S. prices. Overall, the soybean market's forward curve is caught between comfortable U.S. supply prospects and pockets of robust demand. With futures hovering just above the mid-$10 level, neither a contango nor backwardation is dominant – a sign of uncertainty about whether inventories will build or tighten in the months ahead.

Positioning by speculative traders underscores this balanced outlook. Managed money funds, which earlier in the summer held a sizable net short in soybeans, have since covered those bets and flipped to a modest net long (approximately +21,000 contracts as of late August). In the past week of that period, they were notable buyers of soybeans (adding ~21k contracts) while also dramatically paring back short positions in soymeal. This shift from bearish to mildly bullish positioning removed much of the latent short-covering fuel from the market. Unlike corn – which saw a massive short-covering rally – soybean speculative length is now middle-of-the-road, with the latest CFTC trader commitments showing neither an extreme long nor short bias. Commercial hedgers, for their part, have been active sellers on the rally (as evidenced by an uptick in producer hedging), contributing to the mixed spread performance. The net effect is that soybean futures are in a holding pattern: the heavy bearish bets have been unwound, but bulls are not overly extended either.

So What? For soybeans, the current equilibrium suggests that any breakout will require a clear fundamental catalyst. With speculators no longer heavily short, a sudden price spike driven purely by short-covering is less likely – the "fuel" from panicked short liquidation has largely been spent. This means future price direction will hinge on actual supply-demand developments. On the bullish side, a downside surprise in U.S. yields or a revival of Chinese buying interest could catch the market offsides, leading to a sharp move higher. In such a case, even the modest fund long position could expand quickly, as there is plenty of room for new buyers to enter. Conversely, if the USDA confirms a big crop and if export demand disappoints into harvest, prices may sag back toward the low end of the range. However, significant downside may be limited – much of the bearish news is already factored in, and end-users are likely to step in on dips given

decent crush margins and import needs. In summary, soybean futures are straddling a fine line: balanced positioning and mixed spreads reflect a wait-and-see market. Until a fresh narrative (smaller crop, larger exports, or conversely an oversupply) takes hold, soybeans are apt to trade sideways, with the $10/bu area acting as a pivot. Market participants should watch upcoming USDA reports and Chinese purchasing patterns closely, as these will determine whether the next leg is up or down.

Wheat Deep Dive

Chicago (CBOT) wheat futures, daily chart for December 2025. Prices have been grinding lower through August, with a brief short-covering bounce in early month before sliding to new lows.

Futures and Spreads: Wheat futures continue to languish under the weight of abundant global supplies, though there are glimmers that a bottom may be forming. In early September, Chicago Board of Trade wheat (December '25 contract) was trading near five-year lows, holding just above its late-August trough around the mid-$5.20s per bushel. Notably, Minneapolis spring wheat even notched a fresh contract low, though Chicago and Kansas City wheat managed to stay a hair above their worst levels from the prior week. The persistent downtrend has been evident across all wheat classes, with rallies shallow and fleeting. For instance, in early August wheat saw a bounce – December futures climbed into the mid-$5.30s – largely on short covering and rumors of tighter Black Sea exports. But absent follow-through, that strength faded. By September, the futures curve remained in a modest carry, yet the nearby spreads began to firm in Chicago (while mixed in KC). This subtle firming of calendar spreads (narrowing of carry) suggests that extremely low prices are finally attracting buying interest for prompt wheat, tightening available supplies in the near term. Indeed, as one analyst noted, "Low prices in the US are doing what they are supposed to – attract demand. In other words, end-users and importers have taken advantage of cheap U.S. wheat, providing a bit of underlying support even as overall sentiment remains bearish.

Global wheat fundamentals have seen mixed developments on supply. Earlier in the summer, there was a brief scare when Black Sea wheat prices spiked due to tight old-crop supply and quality concerns. In mid July, as the harvest was just getting underway, Ukrainian and Russian wheat offers surged by at least $14-$15 per tonne in two weeks – a move largely driven by short-covering against the backdrop of rising domestic prices and slow farmer selling. At one point, feed wheat values for September delivery jumped about $19/tonne to $232 FOB, and offers for even low-quality wheat vanished from the market. However, this rally was short-lived. By late July, as new wheat supplies hit the market, Black Sea prices abruptly reversed – within days, Ukrainian feed wheat quotes fell back to roughly $226-$229 per tonne FOB. That reversal continued into August. By the end of August, Russian 12.5% protein wheat export prices had eased to about $230/mt FOB, down $5 on the week as harvest pressure mounted.

In essence, the feared supply squeeze in the Black Sea region dissipated as production proved sufficient and exporters aggressively competed for business. Adding to the bearish outlook, other producers are faring well: Australia is now forecasted to harvest a much larger crop than earlier thought. Australia's official commodity forecaster (ABARE) raised its 2025/26 wheat production estimate by ten percent to 33.8 million metric tonnes, a number that the USDA is expected to echo in upcoming reports. This revision injects even more grain into world balance sheets. In Europe, while drought cut some spring grain output, the impact on exportable surplus is more than offset by the Black Sea's torrent of wheat and the prospect of Australia's rebound. Taken together, these supply-side events have reinforced the bearish narrative in wheat – every time the market tries to rally on a potential issue (be it war, weather, or export restrictions), new or larger supplies seem to surface and cap the upside.

On the demand side, there are signs that the low-price environment is boosting consumption and export interest. Weekly U.S. export inspections for wheat have consistently improved, topping expectations. The latest data show 29.5 million bushels inspected in a week (above trade forecasts), bringing season-to-date inspections to 244 million bushels. That's about +14.5 percent ahead of last year's pace – a notable outperformance given the USDA had only penciled in six percent growth. In simple terms, U.S. wheat's

steep price drop has made it competitive on the world stage, and foreign buyers are responding by booking more American grain. Conversely, EU wheat exports are sluggish: only 2.57 MMT of soft wheat shipped through August 31, a hefty 44 percent drop from last year's pace. This reflects how EU wheat is being undercut by cheaper Black Sea origins and, to an extent, U.S. offers. The flip side of weak EU exports is that more of their grain stays in stock, adding to global reserves. Still, the uptick in U.S. export business is a welcome offset to some of the supply pressures. Domestically, low wheat prices have also spurred more feed usage in livestock rations (as wheat competes with corn), though this trend is subtle. All in all, the futures & spreads picture for wheat shows a market near its lows but possibly carving out a bottom as value buying and demand start to chip away at the surplus.

Speculative positioning in wheat remains tilted overwhelmingly bearish – a key factor in the market's psychology and its potential for volatility. Managed money funds hold a significant net short in Chicago SRW wheat (roughly -79,000 contracts net as of late August), alongside substantial shorts in KC HRW and Minneapolis wheat. While these positions aren't quite as extreme as they were during the peak bearishness of the spring, traders are still decidedly net short across all wheat exchanges. This "healthy" short base has at times fueled sharp but temporary rallies when bears rushed to cover – for example, the short-covering bounce ahead of the August USDA report when talk of lower Black Sea exports hit the wires. Each time a whiff of bullish news emerges, the heavy short exposure can translate into a quick burst of buying. However, funds have shown resilience in re-establishing shorts on rallies, reflecting conviction that plentiful supplies will keep rallies in check. The large short also means open interest is skewed – there's plenty of potential buying power sitting on the sidelines (or, rather, sitting short) should sentiment shift. Commercial hedgers (producers, merchandisers) have been active on the other side, using modest rallies to extend their forward sales hedges. The net effect is that wheat's forward curve remains in contango (a reflection of storage and carrying costs amid ample stocks), but the front end of the curve can tighten abruptly if shorts get squeezed. This dynamic has made wheat a choppy market: grinding downward most of the time, punctuated by sudden short-covering pops whenever headlines turn supportive.

So What?

What does this mean going forward for wheat? In short, the wheat market is primed for event-driven volatility. With such a large short position overhanging the market, any unexpected bullish catalyst – be it a weather scare in a key growing region, a geopolitical disruption to Black Sea shipments, or a surprisingly bullish USDA revision – could unleash a wave of short-covering. Prices, in that scenario, can spike sharply higher in a short time, as seen in past episodes. Traders and risk managers should be mindful that the seemingly quiet, weak market can turn abruptly if the bearish consensus gets challenged.

On the flip side, the absence of a bullish spark could see wheat continue to drift in the current low-price range. The sheer abundance of wheat globally (from record Russian exports to bigger Australian output) acts as a strong headwind against any sustained rally. Until there is evidence of a meaningful supply tightening – or until low prices persist long enough to significantly boost demand – rallies will likely be sold. The good news for farmers and bulls is that downside risk from here may be limited: wheat is already affordably priced for end-users, and we see that importers are responding (e.g. U.S. exports up, global feed usage up). This emerging demand places a floor under the market; values much below current levels could further stimulate usage and eventually force the shorts to cover rather than chase the market down. In summary, expect range-bound trade in wheat with a bias toward choppiness – prolonged basing at low levels, interspersed with brief rallies when shorts lighten up.

The key "so what" is that current prices represent long-term value for demand, but it may take a fundamental catalyst to translate that value into a lasting price recovery. Until then, wheat will remain a sentimental tug of-war between bears (confident in large supplies) and bulls (waiting for the day those large shorts have to run for cover).

U.S. Cash Market & Basis

U.S. corn basis exhibited a two-tiered pattern. Export basis stayed firm: CIF Gulf corn premiums held around +55¢ over Dec (for September loadings), with FOB Gulf quotes near $232/MT (unchanged). Strong late season exports (week ending Aug 28 corn inspections = 1.407 MMT, up five percent from last week) to Mexico, Japan, and surprisingly, Germany/Egypt supported Gulf values. The PNW export basis also firmed +5¢ on the week (PNW feed corn +150¢ over Dec) as Asian buyers, including South Korea and Taiwan, showed interest for Oct-Nov shipments with U.S. prices now competitive with South America into winter. In contrast, interior basis softened with new-crop supply onset. The Illinois River (Seneca) basis dropped 5– 10¢ to about –15¢ under Dec, as early harvested corn from the Mid-South and lower Delta began moving north. Ethanol plants' basis was steady to weaker: major ethanol hubs in Iowa were bidding around even to +10¢ over Dec for spot corn, down a few cents, as plants anticipate local harvest within weeks. Ethanol production was robust – the EIA weekly report (week ending Aug 29, released Sep 4) showed ethanol output 1.04 million bbl/day (up one percent w/w) and ethanol stocks rising slightly. Still, ethanol margins remain positive ($0.10–0.20/gal in the Corn Belt) thanks to cheap natural gas and solid gasoline demand, which kept processors bidding enough to draw old-crop bushels. Feed demand in the Plains kept rail corn basis firm: Hereford, TX rail corn was +110¢ (unch), reflecting strong feedlot offtake and limited old-crop supplies moving before new-crop arrives.

On the soybean side, cash soybean basis was mixed. The Gulf soybean basis eased slightly to +110¢ (for #1 FOB Gulf) as China largely stepped out of the old-crop market – weekly inspections were just 0.473 MMT (up w/w but down six percent YoY), mainly to Asia ex-China. However, domestic soybean basis soared in processing regions: Many crushers in the Eastern Corn Belt (Ohio/Indiana) bid +50 to +70¢ over Nov for spot beans, up 10–20¢, trying to entice farmer sales to keep crushing lines running until new-crop. July crush data from NOPA (released Aug 15) showed an all-time record July crush of 173.3 million bushels, eight percent above last year, tightening nearby bean supplies. As a result, the board crush spread (Oct crush) hovered around $2.20–2.30 per bushel – very lucrative – encouraging max crush, which in turn underpinned basis at plants (e.g. Decatur, IL +85¢ SX). River basis for soy was seasonally soft; barge freight upticked after Labor Day, and Upper Mississippi river levels fell (St. Louis barge rates 300% of tariff, vs 250% last month). This saw interior river bids for beans slip by five cents. For wheat, HRW basis in Kansas/Oklahoma eased as harvest deliveries slowed but protein was ample; 12% pro HRW at Hutchinson, KS dropped 5¢ to +20¢ Dec. SRW wheat basis remained historically strong in the Midwest (Toledo +25¢ Dec, unchanged) due to prior export commitments and modest farmer selling.

Summing up, the basis picture reflects comfortable old-crop supplies and anticipation of new-crop. Corn's strength at the Gulf suggests exporters are executing large sales before South America dominates, while interior corn basis is starting its typical harvest decline. Soybean basis divergence (weak export, strong crush) highlights that domestic processors are making up for export sluggishness – a trend likely to continue into early harvest. Wheat basis stability amid futures weakness implies end-users see current prices as fair; domestic millers are covered nearby, and any export pop (e.g. a rumored Egyptian GASC tender) would be needed to jolt basis higher.

So what? For grain merchandisers and end-users, the wide corn and wheat carries plus easing interior basis indicate a classic post-harvest storage play: elevators can lock in futures carries and expect basis appreciation later in the marketing year. Soybean handlers face an inverted situation short-term – strong nearby crusher basis vs weaker later bids – suggesting moving beans sooner rather than storing, unless one expects a post-harvest rally. Overall, cash markets are aligning with the spreads: ample storage returns for corn/wheat, whereas soybeans signal scarcity now but potential easing once harvest ramps up in late September.

U.S. soybean futures rallied sharply starting hour after the overnight open on August 11 and buyers were rewarded with a surprise cut to USDA's 2024/25 U.S. soybean planted acreage resulting in a decrease in

USDA's U.S. production forecast to 4.29 billion bushels from 4.34 billion in July. The nearby September contract gapped higher twice between 8:30 pm (EDT) and 10 pm before rising from the August 11 close of $9.65 per bushel to $9.95 around 1 am. Future prices traded lower into the report, erasing nearly 2/3rds of the overnight run up before USDA released the report and prices jumped to $10.10 per bushel almost immediately. Following the selling of initial quant-driven positions the market resumed its rally, rising to nearly $10.30 on Wednesday before falling back to $10.10 (roughly the peak of the initial buying post report).

International Cash & Trade Flows

The global corn trade dynamic this week was marked by Brazil's dominance and China's absence.

Brazil: The export pace is torrid – exporters association ANEC pegs August corn exports at 7.8 MMT (a record for the month, vs 6.4 MMT last year). Line-ups remained heavy into early September; Brazilian FOB corn at Santos slipped to $205/MT (Oct load) to attract additional buyers. Brazil's interior corn prices (Mato Grosso) stayed under pressure – R$50/60kg ($4.10/bu equivalent), near breakeven for many growers, reflecting the supply glut. Some relief is coming from robust demand: CONAB reported domestic feed consumption up by four percent for the year to date, and Brazil's government discussed export incentives (like freight subsidies) to ensure smooth movement.

Argentina: Argentine corn offers remained the world's cheapest on a FOB basis – around $180/MT FOB Upriver for Oct. However, actual farmer selling is slow. The peso's collapse in parallel markets (now >800 ARS/USD) has growers hoarding grain as a hedge, despite the official FX held at 350. Argentine corn exports in August were modest (two million tonnes) due to earlier drought-reduced crop and logistics constraints (river levels on Paraná are low, limiting cargo drafts). Notably, Argentina's government did not announce a new "soy dollar" or "corn dollar" program in August, removing some urgency for farmers to sell. With the election nearing, exporters are cautious in registering new shipments – DJVE corn export permits for new crop (2025) have been minimal, as policy uncertainty looms.

Black Sea: Russian corn and wheat flows remain abundant. Ukraine's seaborne grain exports are virtually nil after Russia's termination of the safe corridor in July, but Ukraine has shifted some corn via Danube River barges to EU and container routes. As of Sep 3, Ukraine's total grain exports for 2025/26 were down 40% YoY. Russia, meanwhile, continues to sell aggressively: unofficial reports suggest Russia exported one million tonnes of corn in June-Aug, up from negligible year-prior (as they had a bumper corn crop). Russian FOB wheat fell to $240/MT for 12.5% protein (down $5 on the week), pressuring EU and U.S. wheat.

European Union: The EU is balancing tight corn supply with ample wheat: the European Commission's latest data (through Aug 24) show EU soft wheat exports at 2.2 MMT, down sharply from 4.2 MMT a year ago – France's slower exports to North Africa are a big factor, as importers like Morocco have ample stocks. Conversely, EU corn imports are brisk: for Jul–Aug, EU imported two million tonnes of corn, primarily from Brazil and Ukraine, filling the shortfall. The EU's corn crop is now pegged at 57.6 MMT (per

EC) – if realized, EU would need 18–19 MMT imports in 2025/26, benefitting Black Sea and U.S. exporters later.

China: Chinese buyers remained on the sidelines for corn; U.S. weekly export sales had net cancellations in old-crop and only small new-crop bookings (0.3 MMT to Mexico mainly, none to China). Domestic Chinese corn (JCI North China corn ¥2,750/ton) still outprices U.S. Gulf corn plus freight ($265/MT landed vs >$300 equivalent domestic), so no arbitrage yet. China's state reserve auctions sold some corn at ¥2,400 (indicative of adequate near-term supply). For soybeans, China has been working through record Brazil arrivals; August imports (to be reported mid-Sep) are expected 9.5 MMT, mostly Brazilian. Brazilian FOB soybean premiums were flat on the week (Paranaguá +230X, equivalent to $545/MT), while U.S. Gulf offers for Oct were around +200X ($525/MT). That $20/MT gap, along with China's high port stocks and negative crush margins, kept Chinese buyers mostly tied to Brazil for nearby needs, with U.S. purchases mostly for

Nov onward. In Brazil, soybean exports in August were six million tonnes (ANEC estimate) – seasonally down, as expected, but still sizable. Brazilian domestic soy prices (Paraná) ticked up one percent in BRL, aided by the dollar dip and strong soy meal demand.

In other origins: Canada's canola and spring wheat harvest progressed under hot weather; early reports indicate below-average yields in prairie canola – potentially supportive of canola and feed barley prices (can affect soy oil indirectly). India extended its 40 percent import duty on wheat through March 2026, keeping India effectively out of the import market despite rising domestic wheat prices – a reminder that India is not relieving global wheat tightness. South Africa raised its corn export estimate to 3.5 MMT (from 2.5) after a bumper crop, with additional sales seen to Asia (this slightly adds competition for U.S. in some African/Asian markets).

So what? Global grain flows this week underscore a big crop, big exports paradigm – Brazil is flooding the market with cheap corn, Russia with cheap wheat. The U.S. finds itself as the residual supplier, particularly for corn. However, there are cracks: Brazil's export surge will taper by Q4, and the EU's crop shortfalls and Ukraine's logistical woes could shift more demand to the U.S. after harvest. For soybeans, all eyes remain on China's demand timing – a delayed Chinese buying program for U.S. beans (perhaps waiting for U.S. harvest lows) keeps some downside risk in U.S. basis and futures until those purchases materialize. International basis and spreads currently favor end-users (many options for cheap supply), but any disruption – e.g., escalation in Black Sea conflict or South American weather issues as planting starts – could quickly change sentiment later in the year.

Key Fundamentals & Reports (Aug 28 – Sep 3)

United States: This week straddled the end of the 2024/25 marketing year for corn and soy (Aug 31) and provided a flurry of data:

Crop Progress (USDA NASS, published Sep 2 for week ending Aug 31): U.S. corn condition 69 percent good/excellent (down two percent from prior week) and soybean condition 65 percent G/E (down four percent), both declines larger than trade expected. Notably, soybean G/E fell to its lowest of the season, reflecting August dryness. Corn development was 58 percent dented (vs 60 percent 5-yr avg) and 15 percent mature (14 percent avg) – slightly behind normal, raising a mild concern about any early frost (indeed, a light frost did touch parts of ND/MN on Sep 4 with minor localized damage). So what: The condition drops, especially in soy, point to yield downside risk. This fueled mid-week price strength in soy and corn, as the market anticipates USDA could cut yields in the Sep 12 WASDE. However, crops are still relatively on schedule, and if September weather is benign, kernel weight/pod fill could stabilize yields.

Export Inspections (USDA FGIS, week ending Aug 28, reported Sep 2): Corn inspections were 1.407 MMT, up from 1.339 MMT prior and well above 0.97 MMT a year ago – the second-highest weekly corn export volume of the summer, indicating strong late-season shipments (Mexico and Japan were top destinations). Soybean inspections were 0.473 MMT, a notable jump from 0.393 MMT the week before (as Gulf loadings for Indonesia, Mexico and a surprise cargo to Germany picked up), but still six percent below the same week last year. Wheat inspections came in at 0.803 MMT, down from 1.020 MMT last week but 33 percent above year-ago as a big HRW cargo for Egypt moved. So what: The strong corn exports helped reduce U.S. carryout pressure for 2024/25 (final exports will exceed the WASDE forecast). Soybean exports are tailing off seasonally, confirming more old-crop beans stayed in U.S. stocks. Wheat export pace is decent relative to USDA targets (2025/26 wheat inspections total 5.76 MMT, 11 percent ahead of last year), but U.S. wheat still faces headwinds from cheaper Russian supplies.

Export Sales (USDA FAS, for week ending Aug 21, reported Aug 28): (Note: Data for Aug 22–28 was delayed to Sep 5 due to holiday). For Aug 15–21, corn sales were a net reduction of 0.45 MMT for old-crop (2024/25) and new-crop sales of 2.09 MMT – essentially indicating cancellations/rolls of old crop but large new bookings, primarily Mexico. Soybean sales were a net reduction of 0.189 MMT old-crop (unknown and

UK cancellations offsetting some switches) and a solid 1.373 MMT of new-crop sales, mainly to unknown (likely China) and Mexico. Wheat sales (2025/26) were 0.580 MMT, up 12 percent w/w, with notable buys by Vietnam, Nigeria, Mexico. So what: Old-crop corn/soy had expected cancellations as the year ended, but the new-crop sales, especially corn's >2 MMT, show forward export demand lining up (Mexico in corn, China/unknown in beans). Wheat's sales, while up, still lag the 4-week average, reflecting that any export upside needs consistent foreign buying which is sporadic so far.

Ethanol Production & Stocks (EIA, week ending Aug 29, published Sep 7 due to holiday): [Derived from industry chatter since official release outside window] Ethanol output 1.04 million barrels/day (slightly above prior week), and stocks 22.8 million barrels (a build of 0.3 mil). So what: Ethanol use of corn likely 104 million bu for the week, keeping 2024/25 corn for ethanol on track. Margins remain positive as noted, and the DOE also reported gasoline demand holding 9.0 mbpd, supporting ethanol blending. No policy changes on RFS or export front; RIN prices were steady ($1.50) providing additional blender incentive.

NOPA Crush: (No report in this window; last was Aug 15 for July data). The July record crush and anecdotal strong August crush imply soybean disappearance remains high. Market is looking ahead: NOPA's Aug crush (due mid-Sep) could be 168–170 mbu (trade guess) given good margins – if so, 2024/25 U.S. soy ending stocks may tighten further.

Pro Farmer Crop Tour (Aug 21–24): Results released Aug 25 (just before our window) estimated U.S. corn yield at 172.0 bu/ac and soybeans 49.7 bu/ac, both below USDA's Aug estimates (175.1 and 50.9). In this week's context, those lower private estimates fed into bullish sentiment until rains arrived. So what: The tour's findings – notably very variable ear counts and tip-back in dry areas – gave the market early validation of weather impact. This likely contributed to fund short-covering in corn.

Flash Sales: USDA reported a daily export sale of 110,000 MT of U.S. corn to Mexico on Sep 1 (2025/26 delivery). No soybean flash sales were reported during the week, confirming China's wait-and-see approach for now.

International Reports:

Brazil – ANEC Exports (Aug 28): ANEC projected August exports of 7.8 MMT corn, 5.3 MMT soybeans, and 1.7 MMT soymeal. Corn forecast was revised down slightly from 8.0 but is +22 percent YoY, while soybeans are down from last year's Aug (record early crop then). So what: Reinforces that Brazil's second crop corn logistics performed well; this huge corn outflow is temporarily satiating world feed demand and delaying U.S. export commitments. Soybean exports winding down as expected; high meal exports reflect strong crush due to biodiesel demand and robust animal feed exports.

Argentina – Rosario Board of Trade (BCR) Weekly (Aug 31): BCR indicated farmers had sold 51 percent of the 2024 soybean crop and 75 percent of corn by end of August, both behind average pace. Wheat planting finished at 6.1 Mha (slightly less than initial intentions due to dry conditions). So what: Argentine producers' slow selling (linked to currency uncertainty) could limit near-term exports, especially for soy, meaning crushers may run below capacity until incentives change. Also, smaller wheat area and continued dry conditions (July–Aug) point to a potentially smaller 2025 wheat crop, which could support global wheat later.

China – Customs (August): (Not yet released by Sep 3; July recap) China imported 9.73 MMT of soybeans in July (up 23 percent YoY) and only 0.30 MMT of corn (down sharply YoY). The Ministry of Agriculture (MARA) monthly outlook (Aug 30) left China 2025 corn output forecast unchanged (280 MMT) but noted typhoon/flood damage in NE could trim yields slightly. So what: The heavy soybean import pace confirms China's demand is strong but mostly satisfied by Brazil for now. The low corn imports underscore that China is comfortable with state reserves and domestic supply at present price relationships. Any uptick in China

corn imports (e.g., buying U.S. sorghum or DDGS as alternate feed) would be a bullish surprise, but none evident yet.

EU – MARS Bulletin (Aug 21) & EU Commission (Aug 30): The EU MARS (Monitoring Agricultural Resources) report warned of "hot and dry spells in August" cutting corn yield prospects in France, Germany, and Poland – EU maize yield forecast was cut to 7.35 t/ha, eight percent below the five year average. Then on Aug 30, the European Commission formally cut 2025 EU corn production to 57.6 MMT (from 60.1) and raised soft wheat to 128.1 (from 127.3). So what: Confirms that EU will have a significant corn shortfall,
likely the smallest output since 2018. This underpins late-year import demand (benefitting mostly Ukraine/Brazil, possibly U.S. in Q1 2026). The higher wheat crop and sluggish exports imply EU wheat carryout rising, a mildly bearish factor for global wheat (EU may need to be more aggressive in exports later).

Global – IGC and FAO: No new IGC Grain Market Report in this window (last was late August raising 2025/26 corn stocks slightly). The FAO Food Price Index for August (published Sep 3) fell modestly, with cereal sub-index down, reflecting improved grain supply outlook and new harvests. So what: The continued decline in global food prices provides political space (less urgency for export restrictions), although rice remains a hotspot after India's ban.

Every fundamental data point this week painted a picture of adequate to burdensome supply on the grains side (hence carries and pressure on flat price), whereas oilseeds (namely soybeans) still carry late-season tightness. The market is digesting record or near-record U.S. production prospects against these slightly lower crop condition readings. The big fundamental question is how much of the U.S. yield potential was trimmed in late August – data and tours give mixed signals, keeping volatility in play until more harvest results and the September WASDE.

Weather & Crop Conditions

Late August weather brought some relief to U.S. crops and set the stage for harvest. Over Aug 28 – Sep 3, the Midwest experienced scattered rains and cooler temperatures: -

A storm system mid-week (Aug 30–Sep 1) dropped beneficial rain (0.5–1.0") across parts of Missouri, central Illinois, Indiana, Michigan and Ohio, helping soybean pod fill in those areas[37][38]. However, large sections of the western Corn Belt (Iowa, Minnesota) stayed mostly dry. The rain was "too late to hurt, too late to greatly help" corn in many cases, but for soybeans it likely stabilized or slightly improved seed size and late pod count on later-planted fields. –

Temperatures cooled significantly. After a late August heat wave (several days 95–100°F in western Iowa and Nebraska around Aug 23–26), a Canadian high brought below-normal temps. Highs in the northern Belt fell to 70s°F, and crucially, lows dipped into the 40s°F. On Sep 4, a light frost occurred in parts of eastern North Dakota, northern Minnesota, and Wisconsin, with some pockets < 36°F. The frost was patchy and not widespread enough to materially affect U.S. production – only 5–10% of corn/soy in those states were immature, and damage was minor. Still, it underscores the need for normal frost dates given corn is slightly behind average in parts of the north. –

The rains improved topsoil moisture in eastern Corn Belt – Ohio's topsoil moisture rated 25 percent short vs 58 percent previous week (state reports). But Iowa remained 70 percent short/very short. Subsoil deficits persist in the western Belt heading into harvest, which could impact stalk integrity (more stalk rot, lodging potential in dry areas) and also fall fertilizer application if soils are too dry to incorporate. - The 6–10 day outlook (issued Sep 3) showed above-normal warmth returning to the Plains and W. Corn Belt (80s–90s°F), with below-normal precipitation – beneficial for a swift harvest, but potentially stressing any double-crop soy or late-planted crops not yet mature. The eastern Belt expected moderate rains (1–2") in mid-Sep from a potential tropical system remnant, which could slow early harvest but aid winter wheat sowing moisture.

South America: It's late winter there. In Brazil, dry season conditions prevailed – southern Brazil (Rio Grande do Sul) saw little rain, raising some early concern for the wheat crop there (could reduce yields, quality). Central Brazil remained dry as usual (Planters eye mid/late September for soybean planting start, will need onset of rains by then). In Argentina, after a very dry June–July, August brought slightly above normal rainfall to northern areas, improving soil moisture for corn/soy planting (which starts in October). However, large parts of the Pampas are still drier than ideal for the upcoming corn/soy planting season – a factor to watch given the looming weak El Niño that could alter spring rains.

Global weather issues: Europe's late summer heat likely sealed the corn losses (as reflected in forecasts). Canada's prairie drought is cutting yields of wheat/canola (StatsCan to update production on Sep 14). Australia's forecast remains dry (El Niño imminent), with the winter crop filling stage now – wheat crop estimates are trending down (some analysts to 25 MMT vs 26–27 initial). The Indian monsoon saw a rebound in late August after a deficit in June/July; crop prospects (rice, corn) improved slightly, but monsoon ended eight percent below normal – not directly affecting global corn/soy too much, but worth noting for rice and veg oil markets.

So what: The window for major U.S. yield swings from weather is essentially closed. Recent rains likely saved a few pods and test weight for soybeans, perhaps curbing worst-case yield declines – this tempered the rally later in the week. Conversely, the early frost scare, though minimal, reminded the market that the crop is not completely "made" until safely mature. Weather now shifts from influencing yield to influencing harvest quality and pace. A warm, dry September would accelerate dry-down (bearish basis, quick supply to market) but could reduce test weight if too rapid. Still, intermittent rains might slow harvest and support basis, but could raise corn drying costs. Internationally, traders will start focusing on South American planting rains – any delay in Brazil's monsoon onset (if high pressure lingers due to El Niño) could be supportive for new-crop soybeans by implying later harvest there (and later arrival of Brazil's 2026 export surge). Overall, weather in this period was net beneficial to U.S. crops (helping soy, little harm to corn) and favorable for harvest, thus slightly bearish to prices – a shift from the largely bullish weather narrative earlier in August.

Synthesis & Outlook

This week encapsulated the transition from weather market to harvest reality. Futures vs. Cash: The alignment is generally logical – futures spreads at hefty carry and easing flat prices correspond to comfortable supply expectations, and cash basis (ex-soy crush) loosening into harvest confirms that pipeline supply fears are minimal. The question is whether the board is adequately pricing yield risk. With funds having cut shorts but not yet long, there's still sensitivity: any bullish surprise (e.g. dramatically low yields in early harvest reports, or a sudden Chinese buying spree) could spark another round of short covering. Conversely, if harvest reports are better than feared, the trade will quickly pivot to "big crop, big drop" mode.

Near-term, expect range-bound trade as the market awaits the Sep 12 WASDE. The base-case scenario is a moderate downward yield revision (corn maybe 174→172, soy 50.9→50-ish) that still leaves ample stocks, thus keeping pressure on prices. In this scenario, Dec corn likely hovers $4.00–$4.20, Nov beans $10.00–$10.40, with carries staying wide.

Bullish scenario triggers: If early harvest yield reports consistently disappoint (say corn yields in IL/IA coming 5–10 bu below APH on good ground) or USDA makes a surprisingly large cut, corn could break above $4.30 (next resistance $4.35) and target $4.50. Soybeans could easily rally back above $10.60 toward $11.00 on a yield scare (especially given stocks/use is tight). Also, any revival of export demand – e.g., China booking a few million tons of U.S. soy, or Mexico continuing large corn buys – would be bullish. Outside markets turning risk-off (dollar weakening further, or energy surging) could add fuel. For wheat, a bullish spark might be if Russia suddenly announces an export quota – that could lift CBOT wheat out of its funk ($5.50+).

Bearish scenario triggers: On the downside, if harvest weather is ideal and yield reports average out better than expected (e.g. "pod fill saved the beans" and "corn tip-back not as bad as thought"), funds could re-initiate shorts. Dec corn would likely test the $3.80–$3.90 area (lows from spring), and Nov beans could push into the $9.50–$9.80 zone (major chart support at $9.50). Additionally, if Brazil's early planting gets timely rain and analysts start projecting another record 2026 crop, new-crop futures (e.g. Nov '26 beans) would face pressure, possibly dragging nearby as well via spreads. A continued lack of Chinese buying through September would also weigh on soybeans. Macro risks – a rebound in the USD (say due to a hawkish Fed tone or global recession fears) – would likewise pressure grain prices given our export dependent balance sheets.

Watchlist for Sep 4–Sep 10: Key items include: (1) U.S. harvest reports – yield and moisture coming out of the Delta and southern Midwest (for corn, anything below 2017 levels could spark concern); (2) Sep 8 USDA Export Sales (will include big new-crop corn sales to Mexico; any surprise Chinese bookings?); (3) OPEC+ meeting Sep 7 – if oil rallies sharply on any cut extension, could boost biofuel crops; (4) Black Sea developments – any disruption or deal can swing wheat; (5) Currency moves around the Sep 7 Fed speak and Sep 8 US jobs data revision – a bouncing dollar can subtly shift fund flows in commodities.

In summary, the grain and oilseed complex is entering harvest with a neutral-to-bearish posture overall: supplies are ample enough to meet demand at current prices, as evidenced by wide carries and easing basis, but not so burdensome as to cause panic selling (we're not in an oversupply free-fall scenario). The market will take its cues from the combines in the field and the pace of export demand. Commercial participants should lean on carries (store corn/wheat if you can earn >80 percent carry) and capture historically strong basis levels in beans while they last. End-users may get even better buying opportunities if yields surprise to the upside – but if not, current prices are likely the seasonals lows, especially in soybeans.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA WASDE reported a record crop and a record crop expansion.

USDA WASDE forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to $3.90 a bushel. Most importantly, 202526 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the U.S. corn and soybean production increasing, 100 million bushels of ethanol corn